

Year 3: statements and analysis

Cash flows, ratios, and the standards on assets, revenue and financial instruments.

Goldman Snacks

Summary sheet

Statement of cash flows (IAS 7)

- Indirect method: profit before tax + depreciation – profit on disposal + finance costs ± working capital changes.
- Tax paid = opening liability + charge – closing liability.
- PPE purchases: use a working, adding back depreciation and disposals and removing revaluations.

Ratio analysis

- Profitability: gross and operating margin; ROCE = operating profit ÷ (equity + non-current liabilities).
- Liquidity: current ratio; quick ratio excludes inventory.
- Efficiency: receivables days = receivables ÷ revenue × 365. Gearing = debt ÷ (debt + equity).

IFRS standards overview

- IAS 1 presentation; IAS 2 inventory at the lower of cost and NRV.
- IAS 16 PPE; IAS 37 provisions; IAS 38 intangibles.
- IFRS 15 revenue; IFRS 16 leases.

IAS 36: Impairment of assets

- Impairment loss = carrying amount – recoverable amount.
- Recoverable amount = higher of fair value less costs of disposal and value in use.
- CGU losses go to goodwill first, then pro rata to other assets.

IAS 12: Deferred tax

- Temporary difference = carrying amount – tax base.
- Carrying amount above tax base (assets) = taxable difference = deferred tax liability.
- Movement goes to profit or loss (or OCI if the item went to OCI).

IFRS 9: Financial instruments

- Classify assets: amortised cost, FVOCI or FVTPL, by business model and cash flow test.
- Amortised cost: interest at the effective rate; the liability or asset table.
- Expected credit losses: 12-month ECL, or lifetime if credit risk rises a lot.

IFRS 15: Revenue in depth

- Five steps: contract, obligations, price, allocate, recognise.
- Allocate the price by relative standalone selling prices.
- Recognise at a point in time or over time; cash received early is a contract liability.

IAS 37: Provisions and contingencies

- Provide when there is a present obligation from a past event, a probable outflow and a reliable estimate.
- Possible: disclose a contingent liability. Remote: nothing.
- Expected value for many items; most likely outcome for one; discount if material.

IAS 16: Property, plant and equipment

- Cost includes purchase price and directly attributable costs.
- Revaluation model: apply to the whole class; gains to OCI and revaluation surplus.
- Depreciate the revalued amount; transfer excess depreciation to retained earnings.

IAS 38: Intangible assets

- Research is always expensed.
- Development is capitalised once all the PIRATE criteria are met.
- Internally generated brands and goodwill are never capitalised.